

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_OVERCONFIDENT_017

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1. Executive Summary

Analysis of INV_OVERCONFIDENT_017's trading history reveals a dominant behavioural pattern of **Overconfident**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-8.8%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Overconfident
Strategy Archetype	Swing Trader
Max Drawdown	-8.8%
Sharpe Ratio	0.77
Sortino Ratio	1.76
Peer Risk Percentile	92th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that the population median is 1.0, meaning that most trades result in losses, and winners are relatively rare.

Evidence: The trades CVX (entry 2020-01-13 to exit 2020-01-20), META (entry 2022-04-11 to exit 2022-04-18), V (entry 2021-07-26 to exit 2021-08-02), GS (entry 2021-08-12 to exit 2021-08-19), and DIS (entry 2021-10-20 to exit 2021-10-27) all resulted in losses.

Consequence: The portfolio drawdown is 29% due to the risk contributed by these trades, indicating a significant impact on the overall portfolio performance.

Overconfidence

Pattern: You traded 3.5 times per month on average, which is 3.3× more than typical investors (1.1/month).

Evidence: Your most frequent trades: NVDA | entry 2020-05-18 → exit 2020-05-25 | 7d | P&L; +914 NVDA | entry 2022-11-03 → exit 2022-11-08 | 5d | P&L; +2372 NVDA | entry 2022-11-11 → exit 2022-11-18 | 7d | P&L; -1571 NVDA | entry 2020-08-13 → exit 2020-08-20 | 7d | P&L; +747 PFE | entry 2021-05-28 → exit 2021-06-04 | 7d | P&L; +311

Consequence: Excessive trading activity accounts for approximately 71% of your portfolio drawdown through transaction costs and mistimed entries.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_OVERCONF	TSLA	2020-08-24	2020-08-31	7	5029
INV_OVERCONF	KO	2020-03-23	2020-03-27	4	3595
INV_OVERCONF	GOOGL	2020-10-29	2020-11-04	6	3519
INV_OVERCONF	CVX	2022-02-23	2022-03-02	7	2566
INV_OVERCONF	BABA	2020-07-06	2020-07-12	6	2432
INV_OVERCONF	NVDA	2022-11-03	2022-11-08	5	2372
INV_OVERCONF	TSLA	2020-06-30	2020-07-04	4	2148
INV_OVERCONF	TSLA	2021-01-08	2021-01-11	3	-1927
INV_OVERCONF	UNH	2021-12-03	2021-12-10	7	1866
INV_OVERCONF	XOM	2020-03-30	2020-04-06	7	1735

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Set a stop-loss order for each trade to limit potential losses and avoid emotional decision-making.
2. Take a 30-day break from trading after a losing streak to clear your mind and avoid impulsive decisions.
3. Research and understand the market trends and news before making a trade, rather than relying on intuition or gut feelings.
4. Consider diversifying your portfolio by investing in a mix of low-risk and higher-risk assets to balance your portfolio and reduce overconfidence.